

THE WHITE HOUSE

"When dealing with Trump, you can throw out all the grand international relations theories we teach in universities and explain US policy through only one variable: Trump's personality. Everything is transactional: You scratch my back and I scratch yours"

— Prof. Sumit Ganguly
Senior Fellow, Hoover Foundation, Stanford University

ers major concessions by raising the nil-tax liability ceiling from Rs 7 lakh to Rs 12.75 lakh per annum. Nearly 10 million individuals, or over a third of India's taxpayers, stood to benefit from that move, as they found more money in their hands to spend on goods and services.

The Budget also indicated a big shift in the economic priorities of the Modi government. While in the past it had focused largely on supply side economics by pumping vast amounts of public money into building infrastructure for energy and transport, 2025 saw it take significant measures to boost demand and consumption. The hope was that it would stimulate private investment in manufacturing and services and create more jobs. As an expert who wished to remain anonymous explained, "The diagnosis of why the BJP didn't win a parliamentary majority on its own was jobs, jobs, jobs. Reforms then became the cure, and the urgency to implement became an imperative in 2025. It was now or never for the Reform Express."

Another major step came in September when the Modi government pushed through the long-awaited and much-needed rationalisation of the Goods and Services Tax (GST). By simplifying the process and pruning slabs from five to three, the government made it clear that it was willing to forgo revenue to stimulate consumption. The Reserve Bank of India (RBI) backed the government's intentions, significantly lowering its repo (repurchase) rate for lending short-term funds to commercial banks by as much as 1.25 basis points in 2025 alone, bringing it down from 6.50 per cent to 5.25 per cent, enabling banks to lower their lending rates to both businesses and homes. The second quarter of the financial year saw a sharp upswing in the GDP figure, with India clocking an impressive 8.2 per cent growth, making it the world's fastest growing major economy. RBI governor Sanjay Malhotra termed it India's Goldilocks moment, a rare phenomenon when growth is high and inflation low.

Pushing the Throttle

The big win for the BJP and JD(U) in Bihar in November saw Modi press even harder on the reform pedal. Soon after, the government announced it would implement the long-pending Labour Codes, which had consolidated 29 outdated labour laws into four new, uniform codes that simplified and redefined wages, industrial relations, social security and working conditions. The focus again was on job-creation while simultaneously ensuring workers' security.

The Lok Sabha session at the end of the year saw another flurry of economic reforms. The government opened up the insurance sector to 100 per cent Foreign Direct Investment (FDI), signalling that India was ready to trust global capital